P.L. 119-21 in 58 sections of Title 26: instruction by instruction

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Summary

We took every amending instruction of P.L. 119-21 that touches 58 inflation-indexed sections of Title 26 — 65 instructions, 77 elementary edits — and applied it to the Code as it stood before enactment. We then compared the result with later consolidations by the Office of the Law Revision Counsel (OLRC).

- **Execution.** 63 instructions execute exactly as written. One quotes text that is not in the Code; one matches two places where it names one.
- **Cross-references.** Internal cross-references in the same sections were resolved mechanically against the consolidated text, and the unresolved forms were read by hand.

Items 1–4 below bear on how the law operates. Items 5 and 6 are textual discrepancies without an identified effect on current amounts. Item 7 needs no action. The note separates what the text establishes from questions that need further legal analysis.

Sources.

- **Code text.**
  - OLRC Title 26, release points 119-12 (before enactment), 119-33, 119-73not60 and 119-121.
  - OLRC Title 31, release point 119-121.
- **Acts.** P.L. 119-21 as printed at 139 Stat. 72 (govinfo PDF); P.L. 119-108.
- **IRS materials.**
  - Instructions for Form 8839 (2025); Form 1041-ES (2026);
  - 2025 Instructions for Form 1040, Schedule 1-A;
  - Instructions for Form 6251 (2025);
  - REG-119882-25 (I.R.B. 2026-38).
- **JCT.** Joint Committee on Taxation, General Explanation of the Tax Provisions of Public Law 119-21 (JCS-1-26), May 2026. Page references use its printed pagination.

1. Refundable adoption credit: two section lists were not conformed

- **Text.** §70402(a) (139 Stat. 213) adds §23(a)(4): "So much of the credit allowed under paragraph (1) as does not exceed $5,000 shall be treated as a credit allowed under subpart C and not as a credit allowed under this subpart." The $5,000 is indexed after 2025 by §23(h)(3).
- **Treatment as an overpayment.** Because the portion is treated as allowed under subpart C, the excess over tax is an overpayment under §6401(b)(1) and is refunded under §6402. The preamble to REG-119882-25 describes this route for the adoption credit. No amendment to §6401 is needed.
- **Two provisions that name sections one by one are unchanged.**
  - 26 U.S.C. 6211(b)(4)(A) treats as negative amounts of tax, for deficiency purposes, the excess of credits under "sections 21 by reason of subsection (g) thereof, 24 by reason of subsections (d) and (i)(1) thereof, 25A by reason of subsection (i) thereof, 32, 34, 35, 36, 36B, 6428, 6428A, 6428B, and 7527A". Section 23 is not listed.
  - 31 U.S.C. 1324(b)(2) allows disbursement from the permanent refund appropriation for refunds due from credit provisions "enacted before January 1, 1978, or enacted by the Taxpayer Relief Act of 1997", or from listed sections "21, 24, 25A, 35, 36, 36A, 36B, …, 7527A".
    - Section 23 was added in 1996 (P.L. 104-188 §1807). The Taxpayer Relief Act of 1997 amended it but did not enact it, and subsection (a)(4) dates from 2025.
    - Section 23 is not in the list.

- **Precedents.** Each time Congress made one of these credits refundable, in whole or in part, it named the section in both lists:
  - §25A, made partly refundable by P.L. 111-5 §1004(b)(7) and (8) (2009);
  - the adoption credit itself, moved into subpart C as §36C, by P.L. 111-148 §10909(b)(2)(N) and (P) (2010);
  - §21 and §24, made refundable and fully refundable, respectively, for 2021, by P.L. 117-2 §9631(c) and §9611(b)(4).

  In 2021 Congress added "24" to 31 U.S.C. 1324(b)(2), although §24 itself was enacted by the Taxpayer Relief Act of 1997. The refundable rule then added, §24(i), was not enacted by that Act. On the same reading, §23(a)(4), added in 2025, is outside the 1997 clause.
- **Question.** Two points need an answer:
  - how a deficiency attributable to the refundable portion is determined under §6211;
  - which part of 31 U.S.C. 1324(b) covers the portion paid in excess of liability.

  The refundable portion is claimed on Form 1040, line 30 (Form 8839 instructions, 2025).
- **Possible correction**, effective as if included in §70402:
  - (i) in §6211(b)(4)(A), insert "23 by reason of subsection (a)(4) thereof," after "21 by reason of subsection (g) thereof,";
  - (ii) in 31 U.S.C. 1324(b)(2), insert "23," after "section 21,". The prospective amendment of that list by P.L. 117-328 should be taken into account.
- **JCT.** JCS-1-26 (pp. 128–129) describes the refundable portion and its indexation ($5,120 for 2026) but does not address §6211(b)(4)(A) or 31 U.S.C. 1324(b)(2).

2. §23(c)(1): one strike-and-insert, two occurrences

- **Text.** §70402(c) (139 Stat. 214): "striking 'credit allowable under subsection (a)' and inserting 'portion of the credit allowable under subsection (a) which is allowed under this subpart'".
  - The phrase appears twice in §23(c)(1): in the limit test and in the amount carried forward.
  - The instruction does not say "each place it appears", a phrase the Act uses elsewhere.
- **Consolidation history.** OLRC release 119-33 made the substitution in the second place only. Release 119-73not60 made it in both places, "to reflect the probable intent of Congress".
- **Effect.** Read the first way, the refundable portion already paid out still enters the carryforward test. The IRS does not administer it that way. The Line 18 example in the 2025 Form 8839 instructions computes the carryforward as $17,280 − $10,000 − $5,000 = $2,280. The defect is in the text, not in current practice.
- **JCT.** JCS-1-26 (p. 129, n. 674) states that "a clarification may be desirable to carry out this intent unambiguously" and that OLRC's compilation incorporates such a clarification. We document the change between OLRC releases 119-33 and 119-73not60.
- **Possible correction.** Insert "each place it appears" in §70402(c).

3. §529A(b)(2)(B): the quoted text does not exist

- **Text.** §70204(a)(2)(A) (139 Stat. 185) inserts the ABLE rollover exception after "except as provided in the case of contributions under subsection (c)(1)(C)". Since 2014 the provision has read "except in the case of contributions under subsection (c)(1)(C)".
- **Consolidation.** OLRC executed the insertion after the existing phrase "to reflect the probable intent of Congress".
- **Possible correction.** Amend §70204(a)(2)(A) by striking "except as provided in the case of" and inserting "except in the case of", effective as if included in the Act.

4. Senior deduction and the non-itemizer rules

- **Text.** §70103(a)(3) (139 Stat. 159) adds §151(d)(5)(C): "there shall be allowed a deduction in an amount equal to $6,000".
  - Section 151(a) allows "the exemptions provided by this section" as deductions.
  - Section 63(b)(2) admits for non-itemizers "the deduction for personal exemptions provided in section 151".
  - Section 63(d) treats as itemized every deduction other than those allowed in arriving at adjusted gross income and those referred to in §63(b). Section 62 does not mention §151.
- **Why it matters.** The same Act added its other new non-itemizer deductions (§§224, 225 and 163(h)(4)) to §63(b)(5)–(7). The senior deduction was placed in §151 with no corresponding entry. Unless it is part of the deduction for personal exemptions, the text reads as making it an itemized deduction.
- **Heading.** The heading of §70103 — "Termination of deduction for personal exemptions other than temporary senior deduction" — treats the new deduction as part of the deduction for personal exemptions, and may be the basis on which the IRS allows it. The operative text does not say so, and headings are not operative text.
- **Administration.** The IRS allows it whether or not the taxpayer itemizes (Schedule 1-A; 2025 Form 1040 instructions). The 2025 Instructions for Form 6251 state that the deduction "is treated as a personal exemption that is added back to alternative minimum taxable income"; they cite §56(b)(5)(D), which does not exist — the provision is §56(b)(1)(D).
- **JCT.** JCS-1-26 (p. 8) states that the senior deduction "is allowed to taxpayers who claim the standard deduction and to taxpayers who elect to itemize deductions". Its

  n. 26 states that a technical correction may be necessary to clarify that the senior deduction is treated as a personal exemption. Such a correction would match current IRS practice for both the standard deduction and the AMT.
- **Possible correction.** In §63(b)(2), insert "(including the deduction under section 151(d)(5)(C))" after "section 151".

5. References to the former §68(b)

§70111(a) (139 Stat. 164–165) amended §68 in full. New §68(b) ("Coordination with other limitations") has no paragraphs and does not define an applicable amount. Five references, in four provisions, remain:

- §1(f)(7)(A): "section 68(b)(2)";
- §151(d)(3)(A) and (B): "the applicable amount in effect under section 68(b)";
- §164(b)(5)(H)(ii)(III): "the applicable amount (as determined under section 68(b))";
- §642(b)(2)(C)(i)(I): "section 68(b)(1)(C)".

OLRC flags each with a References in Text note. We have not established a numerical effect in the calculations we reviewed. Form 1041-ES (2026) gives the qualified disability trust exemption as $5,300 and states that it "is not subject to phaseout".

Possible correction. Strike the references, or replace them where a threshold is still intended; §164(b)(5)(H) still uses its reference for the sales tax tables.

6. Older cross-references in the same sections

Provision	Reference	Why it fails
§42(e)(3)(B)	"subsection (b)(2)(B)(ii)"	§42(b) was restructured in 2008 and (b)(2)(B) has no clauses. The 30 percent rule is now (b)(1)(B)(ii)
§42(i)(3)(C)(ii)	"subsection (d)(2)(D)(iii)"	P.L. 110-289 redesignated the definition of related person as (d)(2)(D)(ii)
§42(j)(5)(C)(i)	"subparagraph (B)(i)"	(B) has had no clauses since P.L. 100-647 §4004(a)
§642(b)(2)(C)(iii)(II)	"the $4,150 amount in subparagraph (A)"	subparagraph (A) contains $100; $4,150 is in clause (iii)(I)
§877(a)(2)	"substituting '2003' for '1992' in subparagraph (B) thereof"	§1(f)(3)(B) no longer contains "1992"; §877A(g)(1)(A) relies on §877(a)(2)
§55(c)(1)	"section 27(a)"	§27 has no subsection (a) since P.L. 115-141

Only the §55 row carries an OLRC note at the reference. The amendment history in this table rests on OLRC amendment notes.

7. Checked, no action needed

- **§63(b)(6).** §70203(b) (139 Stat. 177) inserted "and" without a comma, and OLRC marked it "So in original". P.L. 119-108 §2(c)(1) has since replaced it with a comma.
- **§199A(i)(3).** The final period printed at 139 Stat. 162 was missing in OLRC releases 119-33 and 119-73not60. Release 119-121 has it.
- **§461(l)(1).** §70601(a) strikes "and before January 1, 2029,". That text exists only after the prospective amendment by P.L. 117-169 §13903(b), which substitutes "2029" for the "2027" inserted by P.L. 117-2. §70601(a) applies from the same date: taxable years beginning after December 31, 2026. It executes correctly.

Method and limits

- **Execution.** Each instruction was written down as an explicit edit and applied to the pre-enactment text, counting occurrences. Where the count differs from the instruction, the edit is not made and the alternatives are listed. The result was compared with the later OLRC releases.
- **Cross-references.** 17 reference forms were left unparsed by the automatic resolver.
- **Effective dates.** Effective-date transitions were not tested one by one; §461 was tested.
- **Checking.** Every item drawn from P.L. 119-21 was checked by hand against the Statutes at Large page.